

“I’m Too Young to Start Saving,” and Other Excuses

Tatum needed to get into the habit of paying herself first. When savings is last in the expense line, invariably there is no money left by the time the end of the line is reached. There will always be obstacles to saving your money; therefore you must commit an amount of your income to saving before you start spending.

Most young adults like Tatum do not realize that saving money can actually pay! The following table illustrates the value over time of \$1,000 invested annually (only \$84 a month):

Interest Earned	5 Years	10 Years	15 Years	20 Years
5%	\$5,526	\$12,578	\$21,579	\$33,066
6%	\$5,637	\$13,181	\$23,276	\$36,786
7%	\$5,751	\$13,816	\$25,129	\$40,995
8%	\$5,867	\$14,487	\$27,152	\$45,762
9%	\$5,985	\$15,193	\$29,361	\$51,160
10%	\$6,105	\$15,937	\$31,772	\$57,275
11%	\$6,228	\$16,722	\$34,405	\$64,203
12%	\$6,353	\$17,549	\$37,280	\$72,052

Investing \$10,000 in a one-time lump sum also pays off:

Interest Earned	5 Years	10 Years	15 Years	20 Years
5%	\$12,763	\$16,289	\$20,789	\$26,533
6%	\$13,382	\$17,908	\$23,966	\$32,071
7%	\$14,026	\$19,672	\$27,590	\$38,697
8%	\$14,693	\$21,589	\$31,722	\$46,610
9%	\$15,386	\$23,674	\$36,425	\$56,044
10%	\$16,105	\$25,937	\$41,772	\$67,275
11%	\$16,851	\$28,394	\$47,772	\$80,623
12%	\$17,623	\$31,058	\$54,736	\$96,463

*Source: National Endowment for Financial Education.

